AUSTIN
CHILE CRISP

Austin Chile Crisp by Scoville Foods LLC

BUSINESS PLAN

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EXECUTIVE SUMMARY

Scoville Foods LLC is a Texas-based limited liability company established to provide high-quality, healthy and natural food products. Our focus is on our flagship Austin Chile Crisp, a spicy oil-based condiment that can be used as a topping or marinade. We currently have two main products both in the category of Chile Crisps. Our first product is an oil-based jarred condiment with a Southwestern BBQ smoky flavor that can be used with a wide range of foods. Our second product is a dry spice blend available in a flexible pouch package, which is versatile and can be used in a variety of ways. The products are aimed at high-income consumers who are looking for specialty ingredients for their food.

Scoville Foods LLC is led by its CEO, William Gluck, who is responsible for overseeing all aspects of the business operations. With his vast experience and entrepreneurial spirit, William is at the forefront of driving the company's growth and success. The Company also utilizes the services of external freelancers, such as bookkeepers and designers, to support the various functions of the business. With this dynamic management team in place, Austin Chile Crisp as a product is well-positioned to achieve its goals and drive growth in the market.

Scoville Foods LLC operates in the consumer-packaged goods food manufacturing industry, serving both wholesale and retail customers. The market for specialty food products continues to grow, with consumers becoming more aware of and interested in new and innovative food ingredient options. We believe that there is significant opportunity for Austin Chile Crisp products within this growing market, and we are well positioned to capitalize on this opportunity with our unique product offerings and focus on high-income consumers. Austin Chile Crisp offer a unique and flavorful product that is different from the traditional Asian-flavored options that are currently available in the market.

Scoville Foods LLC’s Austin Chile Crisp faces competition from established brands such as Lao Gan, Fly By Jing, Trader Joes's Crunchy Chili Onion, and Celebrity Chef David Chang's Momofuku Chili Crunch. Despite the presence of these established players, we are confident in our ability to succeed and our unique selling proposition that lies in our Southwestern BBQ smoky flavor profile, which sets us apart from the competition and appeals to a wider range of consumers. Our jarred condiment and flexible pouch spice blend also offer distinct advantages in terms of production, packaging, and sustainability compared to the competitors.

Our goal is to build a nationally recognized brand, making Austin Chile Crisp available on grocery shelves and for use in restaurants, households, and college cafeterias. Initially, our focus will be on the Austin-San Antonio metropolitan area, with plans for future expansion to the north in Dallas and to the south in Houston. Our B2B will be focused on retail grocery stores, restaurants, and gift shops within the Austin area, as well as through the online Faire platform for nationwide wholesale distribution. B2C distribution will primarily be through our website, Amazon, and outdoor markets.

Scoville Foods LLC plans to launch Austin Chile Crisp with a targeted marketing campaign aimed at high-income consumers who appreciate quality and specialty food products. To reach this target audience, the company plans to leverage various marketing channels such as social media, advertising, and strategic partnerships with grocery stores, restaurants, and gift shops. We also plan to attend food trade shows to showcase our products and reach a wider audience. Our online presence on the Faire B2B platform and our website will be essential in reaching our B2B and B2C customers, respectively. We value customer feedback and will continually use it to improve its products, ensuring its position as a market leader.

COMPANY OVERVIEW

COMPANY PROFILE

Scoville Foods LLC	
Product	Austin Chile Crisp
CEO	Wiliam Gluck
Location	Spicewood, TX
Phone	917-213-7363
Email	william@chilecrisp.com
Website	www.chilecrisp.com

MISSION STATEMENT

Our mission is to bring a new level of flavor and enjoyment to everyday meals in a healthy and natural way, without the use of added sugar or salt. Our flagship product, Austin Chile Crisp, has already received positive feedback from those who have tried it, and through direct engagement with our target market, we have gathered valuable market research to support our belief in the product's appeal. We aim to expand distribution and provide more people with the opportunity to experience the unique taste of Austin Chile Crisp.

VISION

We envision a world where our premium quality, healthy and natural Chile Crisp is a staple in every kitchen, elevating the flavor of every meal and making healthy, delicious dining accessible and enjoyable for all. With a commitment to using only the finest ingredients and being free of added sugar and salt, we strive to be the leading provider of Chile Crisp products, delivering unbeatable taste and convenience at an affordable price for everyone to enjoy.

CORE VALUES

Scoville Foods LLC is known for its high energy, excitement, and healthy living. We motivate our customers through our pride in self-development, charisma, and lifestyle choices. The following are our core values:

- **Quality:** Providing high-quality, healthy and natural food products that meet the needs and expectations of our customers.
- **Innovation:** Continuously exploring new and creative ideas to improve our products and meet the changing needs of the market.
- **Sustainability:** Committed to sourcing ingredients ethically and responsibly, and reducing our environmental impact.
- **Customer Focus:** Putting the needs of our customers at the forefront of all decision-making, and striving to provide the best possible experience.
- **Collaboration:** Building strong relationships with our partners and stakeholders, working together towards a common goal.
- **Integrity:** Adhering to ethical business practices, transparent communication, and acting with honesty and fairness in all our dealings.
- **Community:** Supporting local communities and giving back through charitable initiatives and volunteer opportunities.

OBJECTIVES

Over the years of operations, we will seek to meet the following objectives:

- **Brand recognition:** To establish Scoville Foods LLC and Austin Chile Crisp as a nationally recognized brand in the consumer-packaged goods food manufacturing industry.
- **Market expansion:** To expand the market reach of Austin Chile Crisp beyond the Austin-San Antonio metropolitan region, targeting North to Dallas and South to Houston.

- **Product quality:** To maintain the high-quality standards of Austin Chile Crisp, ensuring that it is made with healthy and natural ingredients and free from added sugar and salt.
- **Customer satisfaction:** To ensure that our customers are satisfied with the taste and quality of Austin Chile Crisp, and to continually improve the product based on their feedback.
- **Revenue growth:** To increase the revenue and profitability of Scoville Foods LLC, by expanding our product offerings and reaching new markets through effective marketing and sales strategies.
- **Community engagement:** To actively engage with the local community, participating in local events and supporting charitable causes to build brand awareness and customer loyalty.
- **Sustainability:** To adopt sustainable business practices, reducing our carbon footprint and ensuring that our operations and supply chain have minimal negative impacts on the environment.

KEY TO SUCCESS

The key to success for Scoville Foods LLC and its product Austin Chile Crisp involves a combination of factors that include:

- **Product Quality:** Ensuring that the product consistently meets high standards for taste, ingredients, and packaging.
- **Marketing and Promotion:** Creating a strong brand image through effective marketing and advertising campaigns aimed at high-income consumers.
- **Distribution Network:** Expanding the reach of Austin Chile Crisp through partnerships with grocery stores, restaurants, and gift shops, both locally and nationally, as well as a strong online presence through the Faire B2B platform and our website.

- **Customer Feedback:** Gathering feedback from customers and using it to continually improve the product and maintain its position as a market leader.
- **Financial Management:** Ensuring the financial sustainability of the business through effective financial management, including careful budgeting and expense control.

PRODUCT AND SERVICES

PRODUCT DESCRIPTION

Scoville Foods LLC is a producer of specialty Chile Crisps. Our products are aimed at consumers who are looking for unique and flavorful additions to their food. We have two product line in the category of Chile Crisps. Our products are crafted from the finest all-natural ingredients, sourced primarily from local suppliers, without the use of any preservatives. It is essential that our products have not only quality, but also look appealing and attractive to the eye. That's why we take extra care to add the little touches that enhance the overall experience for our customers.

Our first product is an oil based 8 oz jarred condiment made from a blend of Morita pepper, Aleppo pepper, fried onion, fried garlic, and canola oil. Morita pepper, related to Chipotle pepper and containing smoky notes. Aleppo pepper, a Middle Eastern culinary pepper with fruity and savory notes and a bright crimson color. With its tangy and spicy flavor profile, this Chile Crisp is ideal for use as a topping, marinade, or cooking ingredient. Unlike other Chile Crisps with an Asian flavor profile, our Southwestern BBQ smoky flavor makes it a versatile addition to a wide variety of Western cuisine.

The second is a dry spice blend available in a flexible pouch package in 6.3oz, 3.2oz and a 7gm sample packet. It is made from the same ingredients as our jarred condiment, less the added canola oil. This product is versatile in that customers can choose to add their preferred oil in the amount they desire or use the spice blend as a sprinkle or rub.

All of our products are produced under the Scoville Foods LLC’s brand label. To reduce the cost of production and to prepare for growth, we do not intend to restrict our services to only the supply of our products to stores who will eventually retail them, but we also involved in co-package of our products under private label and store brands when we begin full production.

MANUFACTURING AND OPERATIONS

The conduct of our businesses, including the production, storage, distribution, sale, advertising, marketing, labeling, content, quality, safety, transportation, packaging, disposal, recycling and use of our products, are subject to various laws and regulations administered by federal, state, and local government agencies in the United States.

The manufacturing and operations of Austin Chile Crisp involves a series of processes to ensure that the product is of high quality and meets the customer's expectations. We are committed to operating our business in an environmentally responsible manner, which includes reducing our environmental footprint through sustainable manufacturing practices, reducing waste, and using eco-friendly packaging materials.

Ingredient Sourcing and Recipe Development

We believe that the foundation of a great product starts with the quality of its ingredients and the care put into its recipe development. That's why we take the time to get it right, ensuring that every bite of Austin Chile Crisp is a delicious one. Our manufacturing process involves carefully sourcing ingredients from local suppliers and ensuring that all ingredients are fresh, all-natural, and free from preservatives. We work closely with suppliers to ensure the highest quality ingredients are used in our products. Our expert culinary team then develops and tests our recipes to ensure the perfect balance of flavor and heat.

Production and Packaging

Our production facilities are designed to meet the highest standards of food safety and quality control. Our production process starts with the mixing of ingredients and the creation of our delicious Austin Chile Crisp. All products are made from scratch using a combination of traditional and modern methods. Our production processes are regularly audited to ensure that we are meeting our high standards for quality and safety. The final product is then carefully packaged to ensure that it reaches our customers in pristine condition.

In terms of packaging, we use flexible pouch packaging for our dry spice blend to ensure sustainability and production efficiency. This packaging is not only unique, but also allows for reduced use of plastic and is more environmentally friendly. Our jarred condiment is packaged in 8 oz jars to maintain its freshness and flavor. We take pride in ensuring that our packaging not only serves its practical purpose, but also adds to the overall aesthetic experience of our customers.

Quality Control

Quality Control is a vital part of the manufacturing and operations process at Austin Chile Crisp. Our quality control team is responsible for conducting regular inspections of the production process, including ingredient sourcing, recipe development, and packaging, to ensure that all standards are being met. Additionally, our team regularly checks finished products for flavor, texture, and overall quality to ensure that each batch of Austin Chile Crisp meets the same high standards that our customers have come to expect from our brand.

Distribution and Delivery

For the distribution of our products, we adopt a multi-channel approach that includes both B2B wholesale and B2C business models. Our products can be sourced through direct-store-delivery, retail grocery, restaurants and gift shops, and distributor networks, as well as through e-commerce platforms for direct customers and retailers. The distribution system selected will be based on the specific needs and preferences of our customers, as well as the unique characteristics and trade practices of the local market. The use of DSD systems, which deliver our products directly to retail stores, enables us to effectively showcase and promote our offerings in-store. This approach is particularly beneficial for products that require frequent restocking and are responsive to in-store promotions and merchandising efforts.

Continuous Product Development

In our product development efforts for Austin Chile Crisp, we focus on staying ahead of customer preferences and market trends through extensive market research. Based on the findings, we determine which new products to introduce and outline the production and branding strategies for each location. We want to innovate and enhance the flavor and enjoyment of the everyday food experience in a healthy way, without compromising on taste. This involves focusing on developing new technologies, ingredients, flavors, and substrates that align with consumer preferences.

We are dedicated to improving our manufacturing processes, including reducing costs and minimizing our environmental impact. Our product development efforts also aim to increase functional ingredients such as protein, fiber, micronutrients, and hydration. We continuously strive to advance our packaging technology and designs, including reducing plastic usage and developing more sustainable packaging options that are recyclable, compostable, biodegradable, or otherwise environmentally friendly. Additionally, we invest in the development of marketing, merchandising, and dispensing equipment to further expand our beyond-the-bottle portfolio, including innovations specifically for Austin Chile Crisp.

MARKET ANALYSIS

INDUSTRY ANALYSIS

PACKAGED FOOD PRODUCTS MARKET

The global packaged food products market size is predicted to garner a revenue of $34,434.6 million in the 2022–2030 timeframe, growing from $20,545.4 million in 2021, at a healthy CAGR of 6.03%.

The expansion of the packaged food products market can be attributed to advancements in processing techniques for extending food product shelf life. Furthermore, variations in food consumption patterns brought about by the world's growing working population push market growth. Improvements in retail infrastructure have increased the availability of packaged goods, and this increased ease of acquiring food items, combined with options for free home delivery and various promotional offers, has resulted in the growth of the U.S packaged food products market. Furthermore, particular customer demands including such organic food, health food ingredients, vegan cuisine, dairy-free goods, and some are expected to open new possibilities for the packaged food products market.

According to the regional outlook, the U.S. packaged food market size was valued at USD 1.03 trillion in 2021 and is expected to expand at a compound annual growth rate (CAGR) of 4.8% from 2022 to 2030.

The COVID-19 pandemic led to significant changes in U.S. consumers' food-spending patterns. In general, consumers increased their expenditures on food from grocery stores and other retail food establishments, while they decreased food-away-from-home expenditures. At-home consumption of packaged food including snacks, dairy products, prepared meals, as well as bakery items increased, with moderate pantry loading. In addition, sales of beverages through on-trade channels declined slightly during 2020, probably as a result of the loss of business from the temporary closure of restaurants, pubs, and bars. However, preserved and packaged foods have enjoyed revenue growth, although the margin performance of companies has varied.

The rising demand for plant-based products due to the growing vegan population in the country has widened the industry players' opportunity. Many industry players, including Danone S.A, Nestlé, and Unilever, have entered the plant-based market to seize the opportunity. Furthermore, the groundbreaking innovations of vegan companies such as Impossible Foods Inc. and Beyond Meat have accelerated the industry's growth. As per the United States Department of Health and Human Services, as of 2020, around 30 million adults in the U.S. are lactose intolerant. As a result, plant-based dairy alternatives have gained significant traction among the nation's lactose intolerant consumers.

Over the past few years, demand for organic, natural, clean, and whole-food products are surging among the health and environment-conscious consumers who are less price sensitive. With the organic growing trend in the food and beverage industry, the organic product segment is becoming a mainstream food category. In addition, consumers seek more transparency in the sourcing and supply chain of the products they are purchasing. Therefore, the industry players are becoming more transparent by providing more information about the product labels' products. Furthermore, the rising favor for healthy foods made with natural ingredients, low-calorie, low-fat, and free from artificial color, GMO, and sugar drives the growth of packaged food industry in the country.

Distribution Channel Insights

The supermarkets and hypermarkets dominated the market for packaged food and accounted for revenue share of more than 68.0% in 2021. A large number of consumers prefer buying groceries from supermarkets and hypermarkets because of the shopping experience offered by these stores. The option of physically verifying a product, along with expert assistance, is a major factor contributing to the dominance of this distribution channel in the market. Furthermore, the steady rise of Walmart Supercenters, which has made Walmart the largest grocery store in the U.S., has contributed to the growth of the supermarket and hypermarket segment over the last decade. Kroger, the largest traditional grocery retailer, has been a major mergers-and-acquisitions player in recent years, purchasing retailers such as Harris Teeter and Roundy's.

On the other hand, the online distribution channel is expected to register the fastest CAGR of 9.1% in the market for packaged food from 2022 to 2030. Prior to the COVID-19 pandemic, the packaged food industry in the U.S. was lagging behind in terms of e-commerce penetration. Customer apprehensions about purchasing fresh food online, as well as costly e-commerce costs and complicated website designs, hampered its adoption. However, after the outbreak of COVID-19, customers turned to e-commerce due to the fear of contracting the virus and strict restrictions and lockdown orders in many states. The hassle-free shopping experience offered by various online platforms is expected to drive the growth of this segment.

Product Insights

The beverages segment dominated the U.S. packaged food market and accounted for revenue share of more than 17.0% in 2021. This segment includes a wide range of nonalcoholic packaged beverages. Carbonated soft drinks, fruit beverages, and bottled water accounted for the beverage segment's major share. Beverages with exotic flavors and essential nutrients are gaining traction among U.S. consumers. In addition, the increasing demand for functional drinks and sports drinks among the health-conscious consumers and athletes in the country has been driving the growth of the segment. Other than beverage, bakery and confectionery products, dairy products, and snacks and nutritional bars contribute to a significant industry's significant revenue share.

The ready-to-eat meals are expected to register the fastest CAGR of 6.1% in the market for packaged food from 2022 to 2030. Consumers in the nation increasingly prefer ready meals. The changing lifestyle has been boosting the demand for ready-to-eat meals that save the consumers' time and efforts. Prepared or ready meals are an extremely convenient alternative for dual-earning households and students across the country. Furthermore, consumers are willing to pay a premium price for higher-quality convenient foods. Ready-to-eat stew, soup, sandwiches, burgers, and salads are gaining traction among U.S. consumers, especially among the millennials.

SAUCES & SPICES - UNITED STATES

Sauces & Spices make up around 2% of the global Food market. In absolute terms, total revenue at retail selling prices in this consumer segment is expected to increase up to US$284 billion by 2026.

- Revenue in the Sauces & Condiments segment amounts to US$29.69bn in 2023. The market is expected to grow annually by 2.78% (CAGR 2023-2027).
- In global comparison, most revenue is generated in China (US$41.34bn in 2023).
- In relation to total population figures, per person revenues of US$88.18 are generated in 2023.
- In the Sauces & Condiments segment, volume is expected to amount to 4,721.5mkg by 2027. The Sauces & Condiments segment is expected to show a volume growth of 1.5% in 2024.
- The average volume per person in the Sauces & Condiments segment is expected to amount to 13.7kg in 2023.

TARGET MARKET ANALYSIS

Our primary target market for Austin Chile Crisp are individuals who enjoy consuming spicy condiments. The product is differentiated by its unique and flavorful taste, which is considered milder on the Scoville scale compared to other hot sauces. The largest consumer groups for hot sauce and chili crisp include Latin Americans, Asians, and Millennials, and these groups are growing.

According to research, 83% of Millennials consume hot sauces and are expected to soon become the largest living population above the baby boomers. In terms of gender, both females (ages 18 to 44 and 55 to 64) and males (ages 18 to 54 and 65+) consume more hot sauce than the average amount of hot sauce over the course of a year. Furthermore, dual-income, no-kids households also consume more hot sauce than other household lifestyles.

Our secondary target includes retail markets, grocery, restaurants and gift shops directly in the Austin, Texas area. These markets are seeking high-quality products to meet the demands of their customers. To cater to these markets, we will prioritize the development of packaging options suitable for retail and foodservice, including bulk containers and pre-packaged individual portions. Our products will also be made available online through e-commerce platforms and our own website, offering customers the convenience of ordering directly from us.

In terms of location, our primary focus will be on the Austin, Texas area where we have established relationships with suppliers and a solid understanding of the local market. However, as demand grows, we plan to expand into other regions and countries, especially those with a large population of consumers who enjoy spicy foods.

COMPETITIVE ANALYSIS

In the competitive market of chili crisp, Austin Chile Crisp faces competition from established brands like Lao Gan Ma and Fly By Jing, as well as newer entries like Trader Joe's and Momofuku.

- **Lao Gan Ma:** Lao Gan Ma is a major competitor in the market with a reported annual income of $649,404,427 in 2018. The company began mass production in 1996 and their product is popular in China and has worldwide distribution. However, their version has an Asian flavor profile that may not appeal to a more westernized palate.
- **Fly By Jing:** Fly By Jing is a newer entrant in the market with a more upscale version of the Lao Gan Ma product. The company received private equity funding from Prelude Growth Partners and is known for using premium ingredients and having a Chinese flavor profile.
- **Trader Joes:** Trader Joes offers a version of chile crisp called “Crunchy Chili Onion” that uses standard red crushed pepper and is a knockoff of the Lao Gan Ma product.
- **Momofuku:** The Momofuku brand offers a version called “Momofuku Chili Crunch” that is a hybrid of Mexican and Asian flavors, using Mexican chiles and traditional Asian ingredients such as coconut sugar, mushroom powder and seaweed.

While these brands have a long history and a well-established presence in the market, Austin Chile Crisp differentiates itself by offering a unique flavor profile that combines the spiciness of chile peppers with the crunchiness of a crisp.

In addition to traditional hot sauce brands, Austin Chile Crisp also competes with local and regional condiment makers who cater to a specific geographic area. These local brands may have a strong following and a loyal customer base, but

Austin Chile Crisp aims to differentiate itself by offering a consistent high-quality product and wide distribution network.

Another factor that sets Austin Chile Crisp apart from its competitors is its focus on using all-natural and preservative-free ingredients. With increasing consumer demand for healthier and more natural products, Austin Chile Crisp is well-positioned to capture a share of this growing market segment. Austin Chile Crisp aims to differentiate itself from its competitors by offering a unique flavor profile, high-quality ingredients, and a commitment to providing a great customer experience.

SWOT ANALYSIS

The SWOT analysis provides a comprehensive overview of the strengths, weaknesses, opportunities, and threats of Scoville Foods LLC and its product, Austin Chile. Strengths and weaknesses are internal factor, while opportunities and threats deal with factors external to the company.

Strengths:

- Increased consumer awareness about health and wellness
- Unique blend of mild chili peppers, appealing to a wider demographic of customers who enjoy spicy condiments
- Strong brand image and reputation, especially in the local Austin market
- Direct-to-consumer and Direct-business-delivery distribution channels that allow for maximum visibility and appeal
- Overwhelmingly positive consumer feedback

Weaknesses:

- Limited financial resources to compete with established brands such as Lao Gan Ma

- Lack of brand recognition outside of the local Austin market
- Limited distribution channels, as of now mainly available in the local Austin area

Opportunities:

- Growing demand for spicy condiments, especially among the millennial generation
- Potential for expanding distribution channels through online sales and partnerships with retailers
- Opportunity for product diversification and line extension

Threats:

- Intense competition from established brands with larger marketing budgets
- Possible saturation of the market with similar products
- Fluctuations in the supply chain due to the sourcing of premium chili peppers

MARKETING PLAN

MARKETING OBJECTIVES

Marketing objectives are the specific and measurable goals a company sets for its marketing efforts. The following are some examples of marketing objectives for Scoville Foods LLC and Austin Chile Crisp:

- **Increase brand awareness:** To increase the recognition of the Scoville Foods LLC and Austin Chile Crisp brand among target audiences.
- **Drive sales growth:** To increase sales revenue and market share for Austin Chile Crisp through increased distribution and promotional activities.
- **Strengthen customer loyalty:** To increase customer loyalty and repeat purchases of Austin Chile Crisp by consistently delivering high-quality products and providing excellent customer service.
- **Expand market reach:** To expand the availability of Austin Chile Crisp by securing new distribution channels and establishing partnerships with retailers and wholesalers.
- **Improved customer perception:** To improve the perception of Austin Chile Crisp among customers, positioning it as a high-quality, premium product.
- **Improved product differentiation:** To differentiate Austin Chile Crisp from other chile crisp products by positioning the brand as a premium quality and flavorful alternative.

STRATEGIES AND TACTICS

Our over-arching marketing strategy is to create messaging and positioning that clearly articulates our value to our target market. We must communicate that value through our marketing tactics to grow our third-party sales channel, build brand awareness, and support our distributors and their customers.

Marketing Tactics

To execute our strategy, we have developed a series of marketing activities in three strategic categories:

- **Lead Generation** – to identify prospective distributors and retail buyers and nurture them through the sales process.
- **Brand Awareness** – to provide "air cover" for our sales channel by building a strong regional and national brand.
- **Sales/Channel Support** – to create promotional programs that will help our channel sell through more effectively.

Lead Generation

- Distributor
    - Regional and national rollout plan
    - Identify potential distributors
    - Information packet (PDF) for distributors
    - Website information for distributors
- Retail/Food Service
    - Compile a list of local buyers
    - Joint sales calls with distributor
    - Info packet (PDF) for prospective buyers
-

Brand Awareness

- Public Relations
    - Media outreach
    - Press and media announcements
- Social Media Marketing
    - Facebook
    - Twitter
    - LinkedIn
- Blogger Community Outreach – because our product is a relatively unknown formulation for an alternative choice of food, we will reach out to the blogger community to help develop brand awareness.
    - List development
    - Sampling/content development
    - Newsletter
- Website
- Identity materials

Marketing Strategies

The marketing strategies for Scoville Foods LLC and its product, Austin Chile are:

Product differentiation

Differentiate Austin Chile from the competition by highlighting its unique flavor profile and premium ingredients. This will be achieved through showcasing the unique blend of chile peppers that sets our product apart, emphasizing the high-quality ingredients we use, and highlighting our unique flavor profile that is both spicy and full of flavor. By positioning our product as the premium choice in the market, we aim to attract customers who are looking for something different and of a higher quality. We will also differentiate ourselves through our brand image, packaging, and marketing messaging, which will reflect the premium quality of our product.

Price strategy

The price strategy for Austin Chile Crisp will be set in a way that balances affordability with profitability, while also considering competitor pricing and the product's unique value proposition. We will offer a competitive price that is in line with other premium condiments, while still providing a premium product that stands out from the competition through its distinct flavor profile and high-quality ingredients. Regular market analysis will be conducted to ensure that the pricing remains competitive and in line with the target market's expectations. Additionally, promotions and discounts may be offered at certain times of the year to drive sales and attract new customers.

Promotions

To effectively reach and engage with our target market, we aim to develop and implement a comprehensive promotional plan that leverages a variety of channels and tactics. This may include, but is not limited to, in-store demonstrations and sampling, social media advertising, email marketing, influencer partnerships, and event sponsorships. By executing these promotions, we hope to generate buzz, build brand awareness, and ultimately drive sales and increase brand loyalty among our customers. Additionally, we will be constantly monitoring and evaluating the effectiveness of our promotional efforts to ensure that they are delivering the desired results and adjusting as needed to optimize performance.

Place (Distribution)

our focus will be on the Austin-San Antonio metropolitan area, with plans for future expansion to the north in Dallas and to the south in Houston. Our approach to distribution will be determined by the customer needs, product characteristics, and local trade practices. We aim to establish a well-defined and effective distribution network, which will include business-to-business (B2B) distribution systems, distributor networks, and e-commerce platforms. The business-to-business (B2B) distribution will be focused on retail grocery stores, restaurants, and gift shops within the Austin area, as well as through the online Faire platform for nationwide wholesale distribution. Additionally, our presence on e-commerce platforms will provide direct access to consumers and increase our reach. The combination of these channels will ensure that the product is widely available and accessible to the target audience.

Branding: Building a strong, recognizable brand identity to increase brand awareness, customer loyalty, and perceived value. This will be achieved through consistent branding efforts across all marketing channels, including product packaging, advertising, and digital marketing. Additionally, we will partner with retailers and distributors to ensure our product is displayed in a prominent and appealing manner, further establishing our brand in the minds of consumers.

Social media marketing: Leveraging social media platforms, such as Facebook, Instagram, and Twitter, to reach and engage with target audiences. We want to create a strong online presence and increase brand awareness. This can be achieved by creating compelling content such as videos, images, and infographics that showcase the unique qualities and benefits of the product. The company can also engage with its target audience by running contests and promotions, responding to customer inquiries, and sharing user-generated content. Social media can also be used to monitor customer feedback and insights, which can inform future product and marketing decisions.

Influencer marketing: his marketing strategy involves partnering with food bloggers, social media influencers, and influential individuals within the target market to promote Austin Chile Crisp. This can be accomplished through sponsored posts, product mentions, or product reviews by these influencers. By leveraging the trust and reach of these individuals, Austin Chile Crisp can tap into their engaged audiences and increase brand awareness, credibility, and sales.

Content marketing: Content marketing involves creating and distributing valuable and relevant content to attract, engage, and retain a target audience, ultimately driving profitable customer action. This strategy plays an important role in building brand awareness and establishing the brand's expertise and authority within the industry. As part of the marketing plan, Scoville Foods LLC can utilize various forms of content such as blog articles, infographics, videos, and social media posts to educate customers about the benefits and unique qualities of Austin Chile Crisp, and to build a community of brand loyalists. The company can also work with influencers, food bloggers, and media outlets to feature their product and generate buzz.

Trade shows: Trade shows and exhibitions can be an effective marketing strategy for Scoville Foods LLC to showcase their Austin Chile Crisp product to a large audience of potential customers and partners. By participating in relevant trade shows and exhibitions, the company can demonstrate the unique qualities of their product and build brand recognition. Additionally, it provides an opportunity to network and engage with industry professionals and influencers, as well as gather valuable market insights to inform future marketing efforts.

SALES SUPPORT PROGRAMS

Our sales support programs will include in-person product demonstrations, samples, and point-of-sale materials such as brochures and display signs. Sales representatives could also participate in trade shows and attend events to showcase the product and its benefits. Additionally, training sessions could be provided to educate sales representatives on the unique selling points of the product, as well as tips on how to best sell it to customers.

PRICING STRUCTURE

The retail price for both the 8oz jar and the 6.3oz spice blend of Austin Chile is set at $16 on our website and $15 on Amazon. To encourage initial sales, the 3.2oz spice blend is priced at $10 on Amazon. However, these prices may be adjusted in the future.

For wholesale distribution, the 8oz jar and the 6.3oz spice blend are offered at $9, while the 3.2oz spice blend is sold at $6. In addition, we offer sample packets of 7gm spice blend at 25 for $10 and retail with a suggested price of $1. These sample packets come with a display sign and holder and serve as an introduction to our product for a wider audience. By including our website URL on each packet, it also drives sales through both in-store and online platforms.

In addition, we recognize that price flexibility is critical to our success, so we are prepared to offer discounts and allowances, sales promotions prices and reduce the price over limited periods of time during the slow-sales hours, in order to increase our operating capacity usage, and reduce or eliminate losses.

MANAGEMENT & ORGANIZATION

KEY MANAGEMENT

The management team of the company consists of the CEO, William Gluck, who is the driving force behind the company. He plays a crucial role in overseeing the different aspects of the business, working closely with external professionals such as bookkeepers and designers to ensure seamless operations. As the key founder of the company, William brings a wealth of experience and expertise to the table, guiding the team towards success and growth.

Together, the management team is dedicated to ensuring the company's success, and is poised to lead it into the future with confidence and determination. It will be an exciting challenge to figure out how to incorporate new team members without losing the customer's relationship that is taking us to where we want to be. The management will adopt a business process and structure that will guarantee a good return on investment (ROI), efficiency, and flexibility.

MANAGEMENT RESPONSIBILITIES

The roles and responsibilities of each member of the management team will vary based on the size and structure of the organization. However, some common roles and responsibilities for management team members may include:

- CEO: The CEO is responsible for setting the overall vision and strategy for the organization, providing leadership and guidance to the management team, and representing the organization to stakeholders.
- CFO: The CFO is responsible for overseeing the financial operations of the organization, including budgeting, financial planning, and financial reporting.

Other members of the management team may have specific responsibilities related to sales, marketing, operations, product development, and other areas of the business. It is important that each member of the management team is clear on their roles and responsibilities, and that there is good communication and collaboration between team members to ensure the success of the organization.

General Manager (TBD): This position will be filled once consistent revenue streams are in place. The General Manager will be an experienced professional, with a proven track record in the food industry. To fill this position, we will look for an individual with a strong management experience, who is enthusiastic, creative, and a forward thinker. Our preference would be for a formally-trained degreed professional. The General Manager will report directly to the CEO. Job responsibilities will include:

- Oversee manufacturing operations
- Recruit, train, coach, mentor direct reports to facilitate career development and growth
- Determine operational needs and ensure compliance with company policies
- Monitor and manage compliance with state and federal regulations
- Oversee a team of contractors and functional managers
- Provide continuous feedback and financial reports to CEO
- Direct and review revenue, EBIT, operating results, and sales data
- Set goals, evaluate progress, and control expenses related to budget, labor, COGS, inventory, equipment, and capital
- Identify, communicate and drive implementation of capital investments and improvement projects
- Establish, communicate, and enforce organization policies and standards through effective planning, training and development

- Communicate company policies, values, strategies, and objectives
- Manage policy deployment to ensure lean manufacturing practices, while integrating social and environmental responsibilities
- Provide inspirational leadership to build a strong team and ensure consistent results, sustainable results
- Provide leadership for problem resolution to facilitate timely improvements and healthy working relations
- Contribute to team effort by accomplishing related results as needed

Sales: As we scale the production, we will hire a regional sales manager to drive product sales. Job responsibilities will include:

- Provide support and high-level customer service to key customers' personnel
- Set goals, devise and deploy strategic plans to meet company revenue projections
- Interpret sales data, provide analysis, and prepare weekly, monthly, and quarterly reports
- Maintain customer documentation
- Conduct sales meetings and coordinate participation at trade shows and conventions
- Develop and maintain sales-oriented marketing materials
- Jointly with a marketing consultant, devise and implement sales and marketing programs to increase market share and introduce new products
- Provide new ideas to gain market share and grow the company's sales and profits
- Participate in product development process, submit new ideas and inspirations
- Relay feedback on the needs in the field to improve business practices

Marketing: We will hire a marketing team. Job responsibilities will include:

- Working with executive team, develop short and long-term marketing strategy to grow both revenue and profit
- Track marketing trends, new product entries to the market, and competing companies
- Marketing Communications: Develop and implement communication strategy, including positioning and messaging, and social media marketing
- Marketing Promotion: Develop and implement a promotion strategy, including marketing materials, website development, and event planning and coordination
- Media and Industry Relations: Develop industry and media contact list, prepare and distribute announcements, newsletters, and other communication to create opportunities for non-paid placement and coverage.

FINANCIAL PLAN

The following section contains the financial information for Scoville Foods LLC's Austin Chile Crisp. Tables and charts show annual projections for the first three business years. First year monthly tables are included in the appendix.

IMPORTANT ASSUMPTIONS

The financials of this plan are predicated on the following table of assumptions. All estimations are made in US Dollars. The income tax rate is assumed to be 6.25% in Texas. A loan of $300,000 is intended for the business funding. The owner however intends to inject a sum of $10,000 into the business' capital expenditure.

Table: General Assumptions

General Assumptions					
	Year 1	Year 2	Year 3	Year 4	Year 5
Tax Rate	6.25%	6.25%	6.25%	6.25%	6.25%
Debt	$300,000				
Interest Rate	7%				
Owner's Equity	10,000				
Equity Investment	$350,000				

USE OF FUNDS

The fund being sought by the owner will be used in financing the first six months operating expenses, the legal expenses, inventories and the purchase of the machines needed to kick start the business. The funds will be distributed as shown below.

Austin Chile Crisp	
Startup Expenses	**Cost**
Company Website	$0.00
Mobile Application	$0.00
Initial Startup Investment	
Three Months' Rental & Deposit	$3,300
Technology Systems	$12,215
Grand Opening Marketing	$15,000
Travel and Training Expenses	$6,000
Insurance (First Year's Premium)	$7,500
Other Prepaid Expenses	$2,500
Start-Up Supplies, Inventory	$16,000
Furniture, Fixtures & Equipment, Millwork and Graphics	$130,000
Architectural & Engineering Professional Services	$14,500
Signage	$14,000
Leasehold Improvements	$240,000
Legal, Accounting & Organizational Costs	$4,000
Miscellaneous Costs	$5,000
Drive-Thru	$33,750
Additional Funds - 3 Months	$25,000
Branding	
Packaging supplies - $100/month	$100.00
Packaging - $200/month	$200.00
Advertising - $300/month for first year	$300.00
Digital marketing $100/ month for first year	$100.00
Subtotal	**$700.00**
Administrative	
Software subscriptions -$200/month	$200.00
PO Box - $200/year	$16.67

General Office Supplies - $150/month	$150.00
Maintenance on equipment - $2000/year	$166.67
Telephone service - $2000/year	$166.67
Internet service	$0.00
Transportation expenses	$0.00
Storage	$0.00
Bookkeeping	$0.00
Insurance	$0.00
Tax Professional	$0.00
Subtotal	$700.01
Payroll	$9,840.00
Total Startup Requirements	**$528,765.00**
Owner's Equity	**$10,000.00**
Debt	**$300,000.00**
Equity Investment	**$350,000.00**

PAYROLL/PERSONNEL PLAN

Number/Position	Personnel Plan	Wages/Hr	Hrs/Month	Monthly Wage
0	Full-time Employees	$20	192	$0
2	Part-time Contractors	$20	96	$3,840
1	Owner	$50	120	$6,000
	Total Payroll			**$9,840**

AMORTIZATION PLAN

Amortization Plan							
			Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**
Equity Contribution			-				
Loan Principal		$300,000	$321,000				

Loan Term			10				
Interest Rate			7.00%				
Loan Year			**1**	**2**	**3**	**4**	**5**
Interest Payment			21,000	13,650	8,873	5,767	3,749
Principal Payment			105,000	68,250	44,363	28,836	53,552
Balance on Principal			195,000	126,750	82,388	53,552	0
Monthly Interest Payment			1,750	1,138	739	481	312
Monthly Principal Payment			**8,750**	**5,688**	**3,697**	**2,403**	**4,463**
Total Monthly Debt Service			10,500	6,825	4,436	2,884	4,775

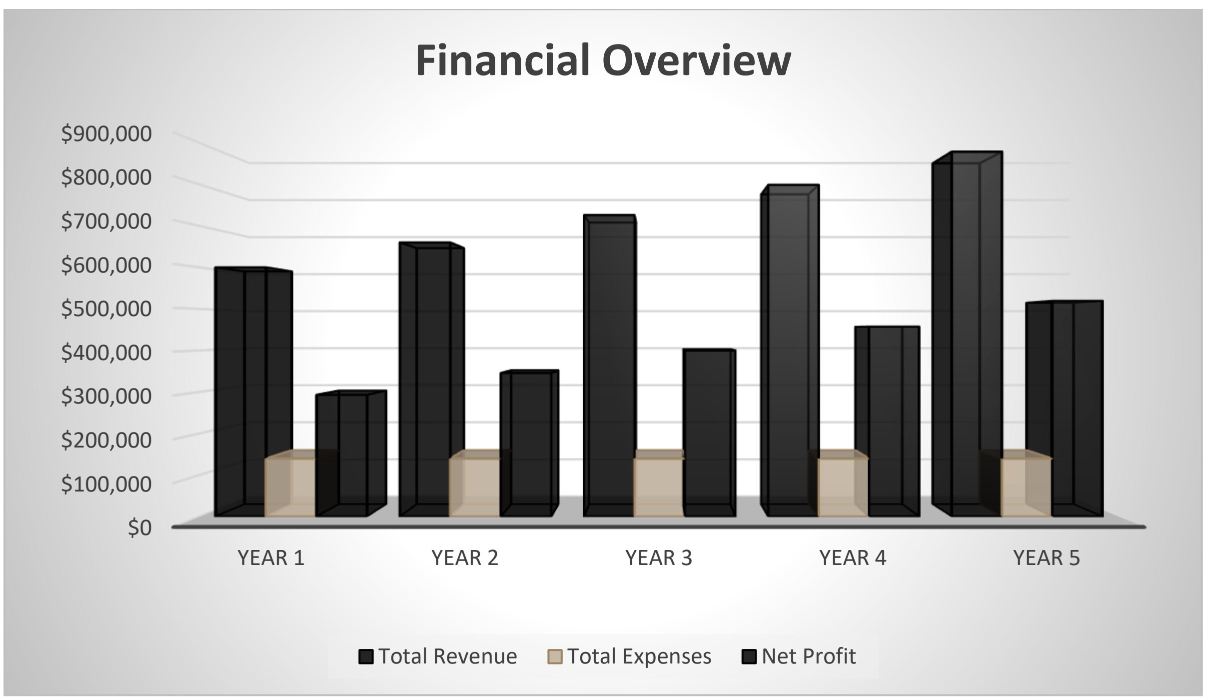
FINANCIAL OVERVIEW

Below is the financial overview showing the profitability of the business at a glance. The profit is seen to increase with sales. Interest expenses and income tax are not considered in estimating the total expenses.

Table: Financial Overview

Financial Overview					
	Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**
Total Revenue	$600,000	$660,000	$726,000	$798,600	$878,460
Total Expenses	$139,680	$139,680	$139,680	$139,680	$139,680
Net Profit	$293,168	$345,518	$399,796	$457,351	$519,265

Chart: Financial Overview



INCOME STATEMENT

The below table is the profit and loss projection for the first five business years. It is assumed that there are three lines in the production of the smoothies. The lines are labelled as small, medium and large. To begin sales, the company needs to first acquire fruits and other raw ingredients. The purchased fruits will also need to be shipped down to our warehouse, thus incurring some tax and custom duties. These expenses alongside the purchase of the containers that will bear the processed smoothies and other costs directly related to sales are estimated to be covered by 30% of the sales, and they go under the costs of sales as shown in the table below.

Table: Income Statement

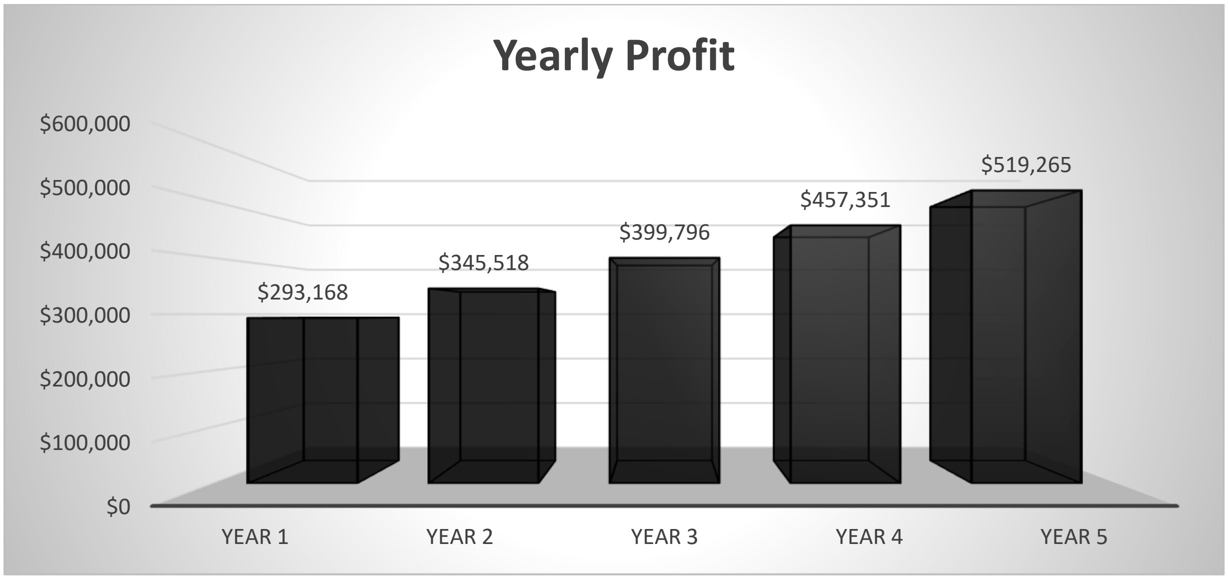
Income Statement					
	Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**
	$	$	$	$	$
Revenue					
Sales/Month	50,000	55,000	60,500	66,550	73,205
Number of Month	12	12	12	12	12
Subtotal Revenue	$600,000	$660,000	$726,000	$798,600	$878,460
Total Revenue	$600,000	$660,000	$726,000	$798,600	$878,460
Total Income	**600,000**	**660,000**	**726,000**	**798,600**	**878,460**
Cost of Sales					
Purchases/Month	10,000	11,000	12,100	13,310	14,641
Number of Month	12	12	12	12	12
Cost of Goods Sold	$120,000	$132,000	$145,200	$159,720	$175,692
Gross Margin	480,000	528,000	580,800	638,880	702,768
Gross Margin %	80%	80%	80%	80%	80%

Operating Expenses					
Webiste and App Mainenance	0	0	0	0	0
Phone	4,800	4,800	4,800	4,800	4,800
Branding	8,400	8,400	8,400	8,400	8,400
Administrative	8,400	8,400	8,400	8,400	8,400
Payroll	118,080	118,080	118,080	118,080	118,080
Miscellanous	0	0	0	0	0
Total Operating Expenses	**139,680**	**139,680**	**139,680**	**139,680**	**139,680**
EBITDA	340,320	388,320	441,120	499,200	563,088
Depreciation	5,207	5,207	5,207	5,207	5,207
EBIT	335,113	383,113	435,913	493,993	557,881
Interest Expense	21,000	13,650	8,873	5,767	3,749
Income Tax Incurred	20,945	23,945	27,245	30,875	34,868
Net Profit	**$293,168**	**$345,518**	**$399,796**	**$457,351**	**$519,265**
Net Profit/Sales %	49%	52%	55%	57%	59%

With the marketing strategy adopted, it is assumed that this will yield an increase in sales in the subsequent years of business activities by 10%, causing the revenue for each year to increase too.

The volume of revenue influences the profit that will be made during the year, therefore revenue generated in the course of running the business results in increase in profit made by the business after taking care of all expenses.

Chart: Profit and Loss



CASH FLOW STATEMENT

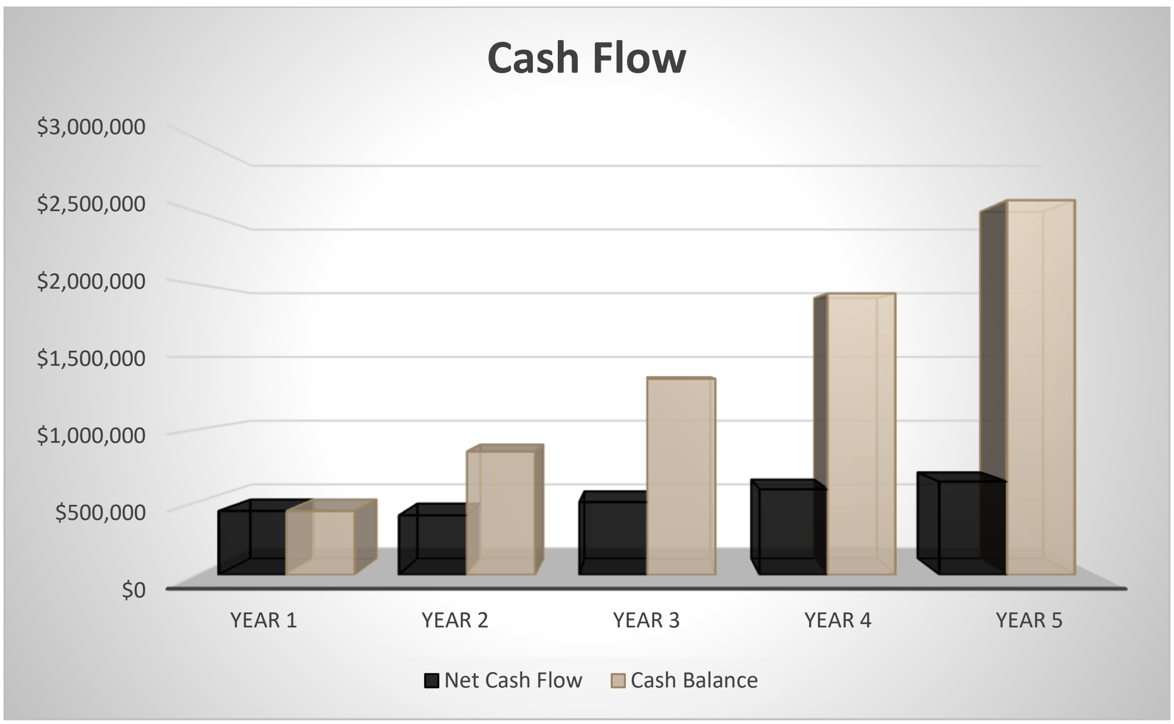
Below is cash flow statement projection for three years showing the movement of cash within the business. No loan is intended for the business; hence no interest expense or loan repayment is incurred in the business. It is assumed that the owner only help herself with 30% of the profit and invests the remaining 70% into the business to maintain its growth and expansion.

Table: Cash Flow

Cash Flow					
	Year 1	**Year 2**	**Year 3**	**Year 4**	**Year 5**
	$	$	$	$	$
Cash From Operations					
Cash Sales	600,000	660,000	726,000	798,600	878,460
Subtotal Cash From Operations	**600,000**	**660,000**	**726,000**	**798,600**	**878,460**
Additional Cash Received					
New Long-term Liabilities	300,000	0	0	0	0
Owner's Equity	10,000	0	0	0	0
Equity Investment	350,000	0	0	0	0
New Investment Reieved	0	0	0	0	0
Subtotal Cash Received	**1,260,000**	**660,000**	**726,000**	**798,600**	**878,460**
Expenditures	**Year 1**	**Year 2**	**Year 3**	**Year 4**	**Year 5**
Expenditures from Operations					
Total Cost of Sales	0	0	0	0	0
Total Operating Expenses	139,680	139,680	139,680	139,680	139,680
Interest Expense	21,000	13,650	8,873	5,767	3,749
Tax Incurred	20,945	23,945	27,245	30,875	34,868
Subtotal Spent on Operations	**181,625**	**177,275**	**175,797**	**176,322**	**178,296**
Additional Cash Spent					
Long-term Liabilities Principal Repayment	105,000	68,250	44,363	28,836	53,552
Investors' Dividends	0	0	0	0	0

Depreciation	5,207	5,207	5,207	5,207	5,207
Startup Requirements	528,765	0	0	0	0
Owners' Withdrawal	0	0	0	0	0
Subtotal Cash Spent	**820,597**	**250,732**	**225,367**	**210,365**	**237,055**
Net Cash Flow	**$439,403**	**$409,268**	**$500,633**	**$588,235**	**$641,405**
Cash Balance	**$439,403**	**$848,671**	**$1,349,305**	**$1,937,540**	**$2,578,945**

Chart: Cash Flow



The graph above shows upward movement of closing cash balance which indicates that there is an increase in cash balance at the end of every period.

BALANCE SHEET

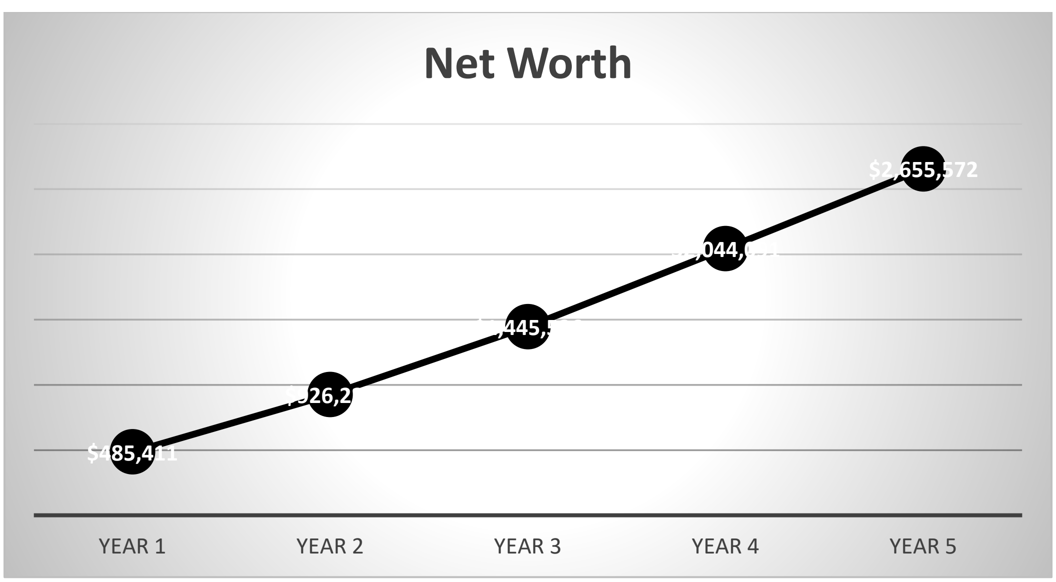
Below is the financial forecast of the balance sheet for the business. The below table shows the steady growth in the net worth of the company. This shows that the business is a very profitable one. It is assumed that all long-term assets have a useful lifespan of 15 years.

Table: Balance Sheet

Balance Sheet						
	Starting Bal.	**Year 1**	**Year 2**	**Year 3**	**Year 4**	**Year 5**
	$	$	$	$	$	$
Assets						
Current Assets						
Cash	350,000	439,403	848,671	1,349,305	1,937,540	2,578,945
Equipment	0					
Other Current Assets	0	0	0	0	0	0
Total Current Assets	350,000	439,403	848,671	1,349,305	1,937,540	2,578,945
Long-term Assets						
Long-term Assets (equipment)	156,215	156,215	156,215	156,215	156,215	156,215
Accumulated Depreciation	0	5,207	10,414	15,622	20,829	26,036
Total Long-term Assets	156,215	151,008	145,801	140,594	135,386	130,179
Total Assets	**506,215**	**590,411**	**994,472**	**1,489,898**	**2,072,926**	**2,709,124**
Liabilities and Capital						
Current Liabilities	0	0	0	0	0	0
Accounts Payable	0	0	0	0	0	0

Current Borrowing	0	0	0	0	0	0
Other Current Liabilities	0	0	0	0	0	0
Subtotal Current Liabilities	0	0	0	0	0	0
Long-term Liabilities	300,000	105,000	68,250	44,363	28,836	53,552
Total Liabilities	**300,000**	**105,000**	**68,250**	**44,363**	**28,836**	**53,552**
Paid-in Capital	0	0	0	0	0	0
Retained Earnings	0	293,168	638,686	1,038,482	1,495,833	2,015,098
Earning	**0**	**293,168**	**345,518**	**399,796**	**457,351**	**519,265**
Total Capital	506,215	590,411	994,472	1,489,898	2,072,926	2,709,124
Total Liabilities and Capital	**806,215**	**695,411**	**1,062,722**	**1,534,261**	**2,101,762**	**2,762,676**
Net Worth	**$206,215**	**$485,411**	**$926,222**	**$1,445,536**	**$2,044,091**	**$2,655,572**

Chart: Net Worth

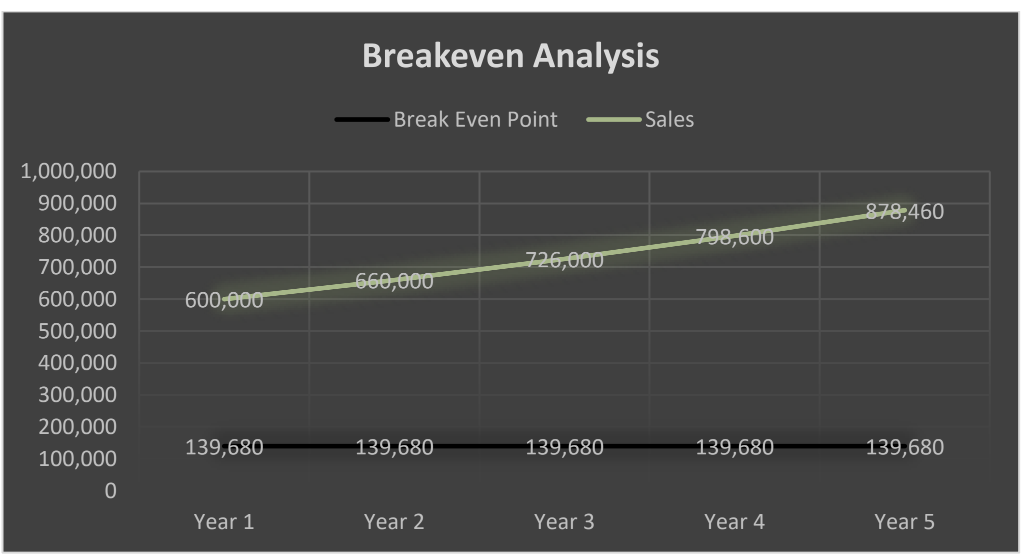


BREAK EVEN ANALYSIS

Break-even is the point where the business neither makes profit nor loss. This means that at break even, the business is only able to pay up its expenses both fixed and variable cost without any excess. The essence of break-even is to determine the number of sales that could lead to profitability.

This means that there must be more than **$139,680** worth of sales yearly before any profit can be recorded. The above analysis can be seen in the table below

Breakeven Analysis		**Year 1**	**Year 2**	**Year 3**	**Year 4**	**Year 5**
		$	**$**	**$**	**$**	**$**
Fixed Cost		139,680	139,680	139,680	139,680	139,680
Gross Margin		**600,000**	**660,000**	**726,000**	**798,600**	**878,460**
Variable Cost		0	0	0	0	0
Sales		600,000	660,000	726,000	798,600	878,460
Gross Margin %		**100%**	**100%**	**100%**	**100%**	**100%**
Break Even Point		**139,680**	**139,680**	**139,680**	**139,680**	**139,680**
Sales		600,000	660,000	726,000	798,600	878,460
Profit After Breakeven		**460,320**	**520,320**	**586,320**	**658,920**	**738,780**



NPV ANALYSIS

Below is the NPV, which is used to determine the value of the business. A positive net present value means that the projected earnings generated by an investment in the present amount exceed the anticipated costs, also in the present amount. With the NPV being positive at $1,787,710, this is a good investment for the company as the company's earnings in the present dollar are more than projected expenses also in the present dollar.

Table: NPV Analysis

Years	Cash-In	Initial Investment / Cash-Out	Net Cash Flow	PV	Net Income	Discount Rate
Initial		660,000	-660,000	-660,000		0%
Year 1	600,000	291,832	308,168	308,168	293,168	
Year 2	660,000	250,732	409,268	409,268	345,518	
Year 3	726,000	225,367	500,633	500,633	399,796	
Year 4	798,600	210,365	588,235	588,235	457,351	
Year 5	878,460	237,055	641,405	641,405	519,265	
			Average	Total	Average	
			489,542	1,787,710	403,020	

NPV	$1,787,710
ARR	0.61%
PI	1.709
TIR/IRR	56.60%

The Average Rate of Return shows the profitability potential for start-up investment. At 0.61%, the company is expected to earn an annual $0.006 on each $1 invested.

The Profitability Index shows that this is an acceptable business as it shows that the investment in this business will increase **Austin Chile Crisp'**s value by being greater than 1.

The Internal Rate of Return shows an annualized rate of earnings on an investment. This means that the business is an attractive investment and a profitable one to venture into, seeing the company's earnings exceed the capital funding of the business by more than 56.6%.